

- iv) All categories except index funds can only have one fund per classification, i.e. an AMC can have a maximum of 34 funds other than index funds.

SEBI has proposed AMCs to set up a *Unit Holder Protection Committee* across all products and services. This committee will independently review AMC's decision from the unit-holders interest perspective. SEBI on 29 March, 2023, has allowed:

- i) Diverse entities, including private equity funds, can become mutual fund sponsors.
- ii) Multiple environmental, social and governance (ESG) schemes can be launched by MFs.
- iii) It is also evaluating rules for the total expense ratio (TER) process by MFs, for which detailed guidelines will be out soon.
- iv) SEBI has brought in a backstop facility for specified debt funds. A backstop fund has to be created by mutual funds to buy corporate bonds during times of stress.
- v) By strengthening and widening the existing eligibility criteria for sponsors, the regulator has introduced an alternative route to enable a diverse set of entities to become sponsors of MFs. This will make private equity eligible to become a sponsor of MFs — a long pending move.

Given the size of the industry and its importance to the economy, it is understandable that SEBI wishes to examine processes and practices across the industry. On paper, the rules and regulations governing funds are quite stringent but ensuring that 40 funds and their respective AMCs and trustees are complying strictly is a difficult task. SEBI will introduce “MF Lite” regulations during FY 2023-24 and these will reduce the compliance burden on the purveyors of passive instruments to around a tenth of current levels.

It is good that the SEBI is proposing to make mutual fund AMCs more accountable and curtailing the practice of passing the blame for lapses on mutual fund trustees. This appears to have narrowed the responsibility of the trustees to a few core areas such as identifying conflicts of interest between the mutual fund shareholders and unit holders. With the formation of a unit-holder protection committee under the Board of the AMC, the fund house is better placed to assume the responsibility of protecting investors (Editorial Comment, The Hindu Business Line, 02 April 2023).

16.5 WORKING OF SEBI

In this section, a brief sketch of the regulator's work is given about the following areas (Sabarinathan, 2010):

- 1) ***The primary market, market access and intermediaries:*** SEBI has regulated the *primary market* through (i) the regulation of issuers' access to the market (ii) regulation of information production at the time of issue, and (iii) regulation of processes and procedures relating to the issuance of securities. All three aspects have evolved considerably over the years.
- 2) ***Disclosure requirements:*** With the introduction of the corporate governance requirements in 2000-01, disclosure of materially significant related party transactions with promoters, directors, management, subsidiaries, relatives and so on was added. Over the years, having increased the frequency of quarterly reporting the disclosure requirements have started mandating a more fine-grained presentation of the performance of the company. SEBI has tightened the disclosure requirements for listed firms. These norms are sensible and they would help in reducing information asymmetry.
- 3) ***Corporate Governance:*** SEBI has led the effort to improve standards of corporate governance in India. SEBI's initiatives starting with the committee headed by Mr Kumar Mangalam Birla and thereafter the two reports presented by the Committee headed by Mr. N R Narayana Murthy, culminated in the introduction of Clause 49 in the listing agreement. The provisions of Clause 49 are often compared with the Sarbanes Oxley Act 2002 and are said to draw upon that legislation in the objectives as well as approach to regulating corporate governance.
- 4) ***Market for corporate control:*** Takeovers and acquisitions are regulated by the SEBI. The Takeover Code has enabled an active market for corporate control to evolve in India. The Takeover Code is an initiative entirely attributable to SEBI.
- 5) ***Trading Mechanisms:*** SEBI played an important role in moving many Indian stock exchanges to adopt an electronic trading system. The automation of trading and post-trading systems on the major stock exchanges (i) reduced manipulation of prices and concealment of audit trails of such manipulation (ii) ensured investors received time-based priority and correct prices for their (iii) fundamentally altered the economics of the business of stock exchanges as the operations of NSE and The Stock Exchange, Mumbai were allowed to be extended electronically to other cities from 1996-97.
- 6) ***Settlement systems:*** With the introduction of the dematerialisation of securities SEBI moved the stock exchanges gradually to a T+2 rolling settlement from April 2003. These developments were also accompanied by the discontinuation of several risk management products that were in use in disguised forms such as the *badla*, a form of futures-based trading. The combined result of these initiatives is the reduction in transaction costs.

- 7) **Dematerialisation:** Starting January 1998 dematerialisation was gradually made compulsory for all issuers and all IPOs in September 2001. Dematerialisation brought about several benefits in terms of greater liquidity, no loss or risk on account of mutilation or loss of scrips, shorter periods of book closure for corporate actions such as dividends payments, rights or bonus issues; and eliminated delays in transfer of shares. The dematerialization has maintained the momentum that was provided by the regulatory push from SEBI.
- 8) **Institutionalisation of Trading and Ownership of Securities:** A key feature of developed securities markets is the extent of institutional ownership of shares as well as the increasing share of institutions in securities trade. There is a strong and increasing link between FII inflows and market returns but of unsure causal direction. These investors have exerted pressure on Indian corporations to raise their standards of governance.
- 9) **Market Integrity and Insider Trading:** To maintain the confidence of investors in the public securities market it is essential that no one should possess an informational advantage over the others and not exploit the same to derive pecuniary gains for themselves. Arthur Levitt, a former Chairman of the Securities and Exchange Commission of the USA opined that insider trading “has utterly no place in any fair-minded law-abiding economy”.

Further, insider trading increases volatility. The SEBI approach centres around the prevention of insider trading by requiring listed companies, intermediaries and advisors to set up internal systems for preventing insider trading and reporting on compliance or otherwise to SEBI. Manipulative practices harm the interests of small and large investors alike as well as that of companies whose shares are subject to such practices. SEBI has addressed these through the SEBI (Fraudulent and Unfair Trade Practices) Regulation, 2003. SEBI has backed up these regulatory measures with a substantial investment in the surveillance of the markets.

SEBI's effort at improving the integrity of securities markets also includes its attempts at improving governance. In particular, the separation of ownership and trading rights should enable the stock exchanges to effectively curtail the level of manipulative practices in the market. SEBI has shown substantial progress in taking action against or disposing of such cases.

SEBI has investigated various instances of front-running over the past several years. The regulator thus needs to crack down quickly to demonstrate that such actions will not be tolerated. It could also consider putting in place fresh measures in terms of monitoring employees with access to confidential information and fiduciary responsibility in asset management companies and other financial

institutions (Editorial Comment, Business Standard May 10, 2022). In October 2022, the inclusion of trading in units of mutual funds in insider trading regulation was long overdue and will stop those working in fund houses from gaining unfairly from unpublished price-sensitive information.

- 10) ***Ownership and Governance of stock exchanges:*** SEBI's most significant initiative to improve the governance of stock exchanges in India was the move to separate ownership and trading rights, referred to as corporatization and de-mutualisation (C&D). The principal requirement of C&D was that all stock exchanges would be corporatized and that not less than 51 per cent of the ownership of the stock exchanges was to be held by the public other than shareholders having trading rights.
- 11) ***Compliance Enforcement:*** SEBI has been less effective in prosecutions and penalizing erring market participants for non-compliance. Some experts attribute this to the absence of specialized courts that can deal with matters involving the financial markets. This is the reason for SEBI's lack of success in securing prosecution against various offences. Financial leakages through related party transactions remain a focus area of SEBI where rules are constantly being tightened. As companies find escape routes, SEBI continues to tweak its regulations to close innovative hatches. Gaps remain, emboldening the bending of regulations. Regulations cannot plug all holes.

Index Providers: In a move to bring more transparency and structure to the market, SEBI proposes that index providers need to consider all relevant data for creating an index. It also needs to exercise enough care and caution to ensure that there is no distortion of the data. It needs to exercise due diligence in the onboarding of data submitters. And, importantly, the index provider has to ensure that the data submitters source data from only regulated entities and no other sources. With the exponential increase in the number of passive funds and the assets under management of these funds, the governance of the indices assumes greater significance (Saravanan and Banerjee, 2023).

SEBI on 29 March 2023 adopted a slew of guidelines in its quarterly board meeting. Such as the introduction of an ASBA-like mechanism for secondary trades, bonus issue of shares, removal of permanent positions in board seats, allowing private equity firms to become mutual fund sponsors, a backstop facility to help MFs during stress, a mechanism for preventing and detecting stock market frauds and the new Environment Social and Governance (ESG) norms. Some of these measures will surely improve corporate governance. For example, the removal of the permanence of board seats gives shareholders a larger say in deciding on the tenure of board members and giving the Nomination and Remuneration committees more powers.

Check Your Progress 2

- 1) How does SEBI regulate the capital market?

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- 2) Describe the structure of SEBI.

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- 3) What is the role of the Securities Appellate Tribunal (SAT)?

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- 4) Highlight SEBI's important regulations for mutual funds.

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16.6 CHALLENGES BEFORE SEBI

The massive size of illegal businesses and the huge spread of finfluencers across platforms such as Telegram, Instagram, WhatsApp, Facebook, and YouTube, make one feel that SEBI has already lost the battle to control them (Basu, 2022). Several social media influencers on YouTube, Twitter, Telegram and other platforms are disseminating financial advice without any requisite qualification to do so, which has resulted in instances detrimental to the market. There are people on social media platforms who peddle information for their benefit and need to be closely followed for their utterances. However, people who have honest opinions about stocks should be free to express their views.

The key question to be posed before regulating financial influencers is whether they are doing something dishonest. The financial influencers sometimes mislead investors. The main problem relates to advertising. Baiting people who purchase something without having proper knowledge and fail to take precautions are the sufferers in the markets. If legislation is to be made for regulating such happenings a need will arise to define the very concept of '*finfluencers*'. This will attract knowledgeable persons having genuine market insight into the purview of legislation and prevent the free flow of such information which harms the investors.

In the case of self-dealing by an investment adviser regarding suggested investments are prone to conflicts of interest and this warrants disclosures. The fintech revolution is fundamentally changing not only products and processes in the financial sector; it is also making things more challenging for financial sector regulators.

While regulations are often static or slow-moving, the lightning speed of technological changes and new business innovations at the regulatory boundaries are changing market practices rapidly. Questions are being raised about the ability of regulators to regulate the increasingly hi-tech and at times ‘decentralised’ mode of products, services and delivery innovations in the financial sector (Nair and Sahoo, 2022).

Taking timely action against violators is imperative in effectively regulating the market and in maintaining market integrity. The Fintech revolution has taken the hitherto risk factors into the realm of complete uncertainty, which as conventional wisdom tells us, cannot be regulated.

Once the regulatory text achieves an appropriate degree of precision and data are organised as needed by the experts, technical experts can take over the task of converting the language-based regulations into algorithms. Regulators need to quickly cover a lot of miles, to remain relevant in the era of tech-revolution (Nair and Sahoo, 2022).

SEBI has directed the designated depository participants (DDPs) to update the list of ultimate beneficial owners (UBOs). In India, it has been noticed that in a large number of cases, foreign portfolio investors (FPIs) are just registered vehicles, but the UBOs of their positions are hidden (Shah, 2023).

The names of the UBOs have often been a sensitive subject for the Indian stock markets since FPIs prefer to keep them hidden from the public. But the world over, the money laundering norms are forcing regulators to lift the corporate veil. SEBI has threatened the DDPs that their FPI licences will be cancelled if they do not divulge the UBOs, and their positions will have to be wound up by March 2024. SEBI has asked all the DDPs to update the details of UBOs of all the FPIs registered in India (Shah, 2023).

SEBI now wants to put the onus of prevention and detection of fraud and market abuse on the stock brokers. According to SEBI, the list of probable instances and indicators of fraud or market abuse, which a broker’s system should be equipped to monitor, should include:

- i) creation of the misleading appearance of trading,
- ii) price manipulation,
- iii) front running,
- iv) insider trading,
- v) mis-selling,
- vi) unauthorised trading, including the facilitation of ‘mule’ accounts that act as a front for unauthorised trading,

- vii) pump and dump, spoofing,
- viii) disproportionate trading activity vis-à-vis reported income, net worth, and
- ix) frequent changes in KYC submitted by clients.

(<https://www.thehindubusinessline.com/markets/SEBI-burdens-stock-brokers-with-more-compliance/article66482308.ece>)

The problem of money belonging to Indian entities being ‘round-tripped’ through shell companies in offshore tax havens is not a new one. Despite regulatory tightening over the years, loopholes are exploited to conceal the beneficial owners of the shell companies.

The problem is that many of these FPIs are structured as multi-layered entities where it is easy to conceal the ultimate owner of the company. Identification of beneficial owners was based on Rule 9 of the Prevention of Money-laundering (Maintenance of Records) Rules, 2005, wherein companies owning more than 25 per cent of the FPI or individuals, partnership firms, trusts and unincorporated associations of persons owning 15 per cent of the FPI were identified as beneficial owner (BO). In case a BO could not be identified through ownership or control, the investment manager had to be identified as the BO and his details provided to the depository.

SEBI needs to apply the ‘look through’ principle in such cases, where following the letter of law may not prove adequate. Stringent penalties should be imposed on market intermediaries abetting such fund flows; they should be banned from markets altogether. SEBI should also reduce the time given to FPIs to disclose the BO to three months (Editorial Comment, The Hindu Business Lines, 09 February 2023).

16.7 EVALUATION OF SEBI’S PERFORMANCE

SEBI is without a doubt one of India’s most powerful regulatory entities. By regulating the Indian financial industry through its various divisions, it plays a significant role in preventing big financial frauds. Notwithstanding initial handicaps, SEBI seems to have fared well. It is an autonomous and suitably empowered agency with the requisite knowledge and human resources. It has managed to design an operationally safe market and is among the most cost-competitive, leaving aside taxes. There have been very few payment crises of the kind that prevailed in the early mid-nineties. Risks in the execution of trade and counterparty risks have been eliminated to a substantial degree. India has one of the better public offering mechanisms in the world that allows for reasonable price discovery and is capable of handling huge volumes of applications, although it has cracked a few times under the onslaught of deviant market participants.

SEBI has put in place a comprehensive web of regulations that ensure a range of market participants and intermediaries have the capacity and the incentives to function well in a coordinated fashion. The disclosure system at the time of

listing as well as post-listing compares with the best in the world. The accounting rule writing and administration system has been strengthened with the establishment of NACAS. Despite some initial pushback and compromises, SEBI has rolled out a corporate governance code that is often compared with the Sarbanes Oxley Act of the USA. India scores well on the index of disclosure requirements. Similarly, SEBI fares well in terms of the powers of the supervisory authority and autonomy but ranks way below the SEC in terms of enforcement powers (Sabarinathan, 2010).

Experts attribute SEBI's regulatory effectiveness to the Board structure, the demarcation of policymaking to the members of the Board and its implementation to the executive directors. Further, its effectiveness in implementing market design reforms lies in the fact that it was "completely detached concerning the rentiers". SEBI's track record in building internal competence appears to compare favourably with that of RBI.

The recent report of the International Organisation of Securities Commissions (IOSCO) reviewing the adherence of regulators of 55 countries to its main principles is very timely. It comes as a relief for the SEBI that, concerning the IOSCO's five core principles it scores reasonably well. The five principles are (Editorial comment, The Hindu Business Line, 26 February 2023):

- i) clear and objectively stated responsibilities,
- ii) operational independence and accountability,
- iii) adequate power and resources,
- iv) clear and consistent regulatory processes, and
- v) skilled and reliable staff.

That probably explains how India's stock market weathered disasters such as the global financial crisis and the pandemic-led meltdown well. The IOSCO report has lauded SEBI for being well-funded by the fee. It is just as well that the officials of SEBI have been provided legal protection to ensure that no action can be taken against them for actions carried out in good faith.

The SEBI has played an important role in the fast-paced development of the domestic market over the last three decades, protecting investor interests, there have been some instances where the actions, or absence thereof, of the regulator have come under scrutiny (Editorial Comment, The Hindu Business line, 26 February, 2023).

16.8 SUGGESTIONS FOR MAKING SEBI EFFECTIVE

SEBI needs to reinvent itself and its regulations to control market manipulation in the digital era. In this context, three aspects are important (Editorial Comment, The Hindu Business Line, 19 May 2022):

- i) India's financial market evolves with rising retail participation, market regulations need to keep up with new products and asset classes that are springing up. Newer options such as curated stock portfolios and digital gold which are quite popular with retail investors, are in the grey zone.
- ii) The widespread use of social media platforms such as WhatsApp, Twitter and YouTube apart from apps that encrypt and instantly purge messages, are helping rogue players bypass checks, with the result that mass dissemination of false information about dodgy companies has become rampant. SEBI's regulations must be rewritten to plug this gap.
- iii) There is a need to do away with redundant regulations wherever warranted to facilitate market development. Updating laws apart, SEBI needs to keep up with new-age fraudsters and must be armed with the skillsets and regulatory powers to keep up close surveillance of communications through the digital media, call for information and carry out decryption to decipher such data.
- iv) SEBI is quite right to seek powers from the Government under the Information Technology Act, 2000 and the Information Technology (Procedure and Safeguard for Monitoring and Collecting Traffic Data or Information) Rules, to be allowed to access digital communication channels and carry out interception and decryption of such information. To keep up with scamsters, the SEBI will also have to build internal capacity and skillsets in efficiently mining surveillance data, connecting the dots and building a convincing evidence trail.

The Kotak Committee on Corporate Governance had noted that SEBI was severely under-staffed, overseeing 5,000-odd listed companies with just 800-odd staff while the US SEC had over 4,500 employees to oversee an equal number of companies. Apart from adding numerically to its workforce, SEBI must look at lateral hiring of data science and tech talent at competitive pay scales, to improve its regulatory capacity to keep up with the times.

SEBI's amendments in 2021 mark a significant departure in reporting norms for listed firms. But more needs to be done. There is an increasing investor focus on sustainability investing, shifting from finance-centric investment models to more socially and environmentally responsible long-term investing trends. As a result, the demand for Environmental, Social and Governance (ESG) investing has gained significant traction globally which focuses on non-financial factors as a metric for guiding investment decisions wherein increased financial returns are no longer the sole objective of investors. Integrating ESG disclosures with corporate governance practices of companies is becoming extremely consequential from an investment standpoint as it plays a significant role in assessing the valuation of companies (Dayal and Sawhney, 2022).

To address these issues, India needs to strengthen its corporate governance framework and implementation in both law and spirit. This requires:

- i) explaining the ties between business and politics,
- ii) increasing transparency in ownership structures,
- iii) enhancing the independence and accountability of auditors,
- iv) improving the enforcement of rules, and
- v) actions of regulators and policymakers should lead to the creation of a level playing field for all businesses, irrespective of their size or political connections.

Admittedly, SEBI should continue to strengthen its regulatory framework by pre-emptively enforcing regulations and ensuring markets for securities remain fair, transparent and trustworthy. By strengthening corporate governance, India can create a business environment conducive to long-term investment and prosperity of the country. The suggestion about setting up a common platform for dissemination of all information by mutual funds sounds like a good idea which will make it easier for investors to search for fund-related information. The judicial infrastructure in India needs improvement.

Check Your Progress 3

- 1) What are the important challenges before SEBI?

- 2) How is SEBI working to meet the technological challenge being faced by it?

- 3) What is SEBI's corporate governance code?

- 4) What is sustainability investment in Environmental, Social and Governance (ESG)?

